

Playbook: Governing Law and Dispute Resolution

NORTHWIND SYSTEMS INTERNAL NEGOTIATION PLAYBOOK

SECTION 14: GOVERNING LAW AND DISPUTE RESOLUTION

14.1 Preferred Position (Model Clause Language)

When drafting Northwind paper, Legal shall insert the following dispute resolution clause unmodified into all Master Subscription Agreements and Enterprise Order Forms:

> 14.1 Governing Law and Dispute Resolution.

> (a) This Agreement, and any disputes arising out of or related hereto, shall be governed exclusively by, and construed in accordance with, the laws of the State of Delaware, without regard to its conflict of laws principles. The United Nations Convention on Contracts for the International Sale of Goods shall not apply.

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> (b) In the event of any dispute, controversy, or claim arising out of or relating to this Agreement (a "Dispute"), the complaining party shall provide written notice to the other party detailing the nature of the Dispute. For a period of thirty (30) days following receipt of such notice (the "Negotiation Period"), designated executive representatives of each party shall negotiate in good faith to resolve the Dispute.

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> (c) If the Dispute is not resolved within the Negotiation Period, either party may submit the Dispute to final and binding arbitration administered by the American Arbitration Association (AAA) under its Commercial Arbitration Rules. The place of arbitration shall be Wilmington, Delaware. The arbitration shall be conducted by a single arbitrator appointed in accordance with said rules. The language of the arbitration shall be English.

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> (d) Each party irrevocably submits to the exclusive jurisdiction of the state and federal courts located in New Castle County, Delaware, solely for the purpose of compelling arbitration, enforcing an arbitral award, or seeking preliminary injunctive relief pursuant to Section 14.4.

14.2 Fallback Position

If the counterparty rejects Delaware governing law or binding arbitration, Legal is authorized to drop back sequentially through the following fallback tiers without formal escalation:

1. Governing Law and Venue: State of New York law, with exclusive venue in the state and federal courts located in New York County, New York.
2. Dispute Resolution Forum: Substitution of AAA with Judicial Arbitration and Mediation Services (JAMS) operating under its Streamlined Arbitration Rules.
3. Multi-Tiered Escalation: Addition of a mandatory pre-arbitration mediation step through JAMS prior to filing for binding arbitration, provided that the mediation session must occur within forty-five (45) days of the conclusion of the Negotiation Period.

14.3 Walk-Away Position

Legal and sales teams must terminate negotiations and escalate to the Chief Executive Officer if the counterparty insists upon any of the following non-negotiable red lines:

1. Foreign Governing Law: Governing law of any jurisdiction outside the United States, United Kingdom, Canada (Ontario or British Columbia only), or the European Union (Germany or France only).
2. Public Sector Sovereign Immunity: Any waiver of Northwind's commercial rights or submission to a non-waived state sovereign immunity defense where Northwind's monetary recovery is capped below actual damages.
3. Unilateral Litigation Rights: Retention of the right to initiate court litigation of any kind (other than requests for temporary restraining orders or preliminary injunctions) while prohibiting Northwind from doing the same.

14.4 Numeric Thresholds and Operational Parameters

The negotiation team shall strictly enforce the following quantitative boundaries:

- * Notice Period for Breach and Cure: A mandatory cure period of fifteen (15) days from receipt of written notice shall apply to all material breaches before formal dispute resolution procedures may be initiated.
- * Executive Negotiation Period: The mandatory pre-arbitration good-faith executive negotiation window shall be set at exactly thirty (30) days from notice receipt.
- * Monetary Floor for Arbitration: Binding arbitration shall only be utilized for Disputes where the aggregate amount in controversy exceeds \$50,000 USD; claims at or below this floor shall be adjudicated in the small claims court of competent jurisdiction.
- * Arbitration Cost Allocation Cap: Northwind's exposure to administrative fees and arbitrator compensation under a single arbitration proceeding shall be capped at a maximum multiplier of two times (2x) the total annual recurring revenue (ARR) paid or payable by the counterparty under the applicable Order Form over the preceding twelve (12) months.

14.5 Named Deviations Requiring Escalation

Any deviation falling outside the standard fallbacks requires written pre-approval from the designated internal executive authority:

1. Arbitration Venue Outside Northwind Preferred States: Any agreement to hold binding arbitration or establish court venue in a U.S. state other than Delaware or New York requires prior written sign-off from Sarah Jenkins, VP of Finance.
2. Acceptance of Counterparty Home-Country Governing Law (APAC/LATAM): Any contract governed by the laws of Japan, Singapore, Brazil, or Australia requires prior written sign-off from Marcus Thorne, Chief Executive Officer.
3. Class Action Waiver Exclusions: Any removal of the standard class action or class arbitration waiver provision requires prior written sign-off from Arthur Vance, General Counsel.

14.6 Worked Examples of Counterparty Language

Acceptable Counterparty Language (Approve Without Escalation) * Example 1 (Governing Law Compromise): **"This Agreement shall be governed by, and construed in accordance with, the laws of the State of New York, without regard to its conflict of laws provisions."** (Reason: Falls within authorized Fallback Tier 1). *** Example 2 (Forum Substitution):** **"Any unresolved controversy shall be settled by binding arbitration administered by JAMS in accordance with its Streamlined Arbitration Rules in Chicago, Illinois."** (Reason: Authorized JAMS forum substitution with acceptable geographic alternative).

Unacceptable Counterparty Language (Reject / Escalate) * Example 1 (Foreign Law and Court Litigation): **"This Agreement is governed by the laws of Switzerland, and all disputes shall be subject to the exclusive jurisdiction of the courts of Zurich."** (Reason: Violates Walk-Away Position 1; foreign jurisdiction outside permitted US/UK/CA/EU list). *** Example 2 (Unilateral Court Access):** **"Notwithstanding the arbitration clause herein, Customer retains the right to bring an action in any court of competent jurisdiction to collect unpaid invoices or enforce intellectual property rights, while Northwind shall be restricted exclusively to arbitration."** (Reason: Violates Walk-Away Position 3; asymmetrical litigation rights).